Year 5 ends with another nice profit. The two decisions here display why that is. Adam, Eve, and Candace have formed a federated governance body, decided one fundamental rule together, and realized which data to use should be left up to the very heterogeneous domains.

DEFINITION *Federated data governance* is a data governance model. Enterprise-scale decisions are made by the central governing body, and decentralized units are autonomous decision-makers within their domains for all other affairs.

This is *federated governance in action*—a balance between central decisions and local freedom to maximize the local value. But it's not enough for Candace. With the profits from year 5, Candace goes into a spending spree and expands to 20 teams for year 6. The new governance body adds a rule:

> Local teams can collect data and put the Excel files onto Candace's Dropbox for sharing and to extract some value together.

For Adam and Eve, this turns out well. They've been working together for a long time, and Eve collects her metrics on driveway lengths and shovel breakdowns that Adam uses to optimize his prices. Eve has put them into a nice Excel sheet with the naming she and Adam have been using over the last few years.

But the other 18 team leads aren't so happy. They have no idea how to read Eve's Excel sheet. So in the next meeting of the governance round, they put up another rule:

> Shared data pieces have to carry a description explaining the columns and the data.

It turns out this also enables the other 18 teams to share more data, such as data on the performance of their employees, pricing information for certain city parts, and the like. Unfortunately, sometimes people forget to put up the description with the flood of data. But luckily, Adam, a self-proclaimed hobbyist programmer, writes a little script that goes through every Excel file and emails the owner if the description is missing.

Because the data is sharable and each team can combine it with their data now, profits soar, and Candace ends year 6 swimming in money, surrounded by dozens of happy employees.